

WHY INVEST INTERNATIONALLY?

Despite the increased globalization of financial markets, it is still reasonable to ask why U.S. investors should bother looking beyond their home market. After all, the United States offers a vast array of financial investments in an immense marketplace characterized by substantial liquidity and low transaction costs. There is an enormous range of research and analysis, substantial disclosure requirements, and detailed and enforceable regulations. The U.S. economy has fared well over the years, its political and social framework has been stable, and it has a well-established body of business law and a predictable legal system. Indeed, the United States has long been the “safe haven” to which investors retreat in any “flight to quality” during times of uncertainty.

There are two compelling reasons for U.S. investors today to consider investments abroad. The first is the possibility of earning higher risk-adjusted returns than are available in the United States. In *Security Analysis*, Graham and Dodd pointed out that irrational selling and the associated reduction of equity capital in a market produces bargains for value investors. (Chap. 4) These factors are exacerbated in many international markets due to limited domestic risk capital, and this makes stock prices in these markets more volatile than in the United States. This can present opportunities for patient long-term value investors to acquire shares in great businesses at very attractive prices.

The second reason is that an international portfolio provides diversification that reduces overall volatility while enhancing returns. There is a saying that when the United States sneezes, the world catches cold; in reality, many foreign economies have business cycles—and market cycles—that are not always aligned with those in the United States. International investments provide an opportunity to zig when the United States zags. Although the United States has been the top-performing market over the past decade, this certainly will not